- Proprietary Funds - When the City charges customers for the service it provides, these services are generally reported in Proprietary Funds. Proprietary Funds are reported in the same way that all activities are reported in the Statement of Net Position and the Statement of Activities. The major difference between the Proprietary Funds and the Business-Type Activities we report in the government-wide statements is the detail and additional information, such as cash flows, provided in the Proprietary Funds.

Government-Wide Financial Analysis

As stated earlier, net position may serve over time as a useful indicator of a government's financial position. The largest part of the City's net position reflects its investment in capital assets (land, buildings and improvements, and equipment), less any related debt used to acquire those assets that are still outstanding. The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

Table A-1 below provides a summary of the City's net position as of September 30, 2024 and 2023.

Table A-1
Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total	
	2024	2023	2024	2023	2024	2023
Current and other assets	$ 3,134,473	$ 2,662,801	$ 709,548	$ 684,229	$ 3,844,021	$ 3,347,030
Capital assets	7,772,891	7,966,681	9,984,438	9,442,873	17,757,329	17,409,554
Total assets	$ 10,907,364	$ 10,629,482	$ 10,693,986	$ 10,127,102	$ 21,601,350	$ 20,756,584
Long-term debt outstanding	$ 3,678,269	$ 3,642,762	$ 7,122,567	$ 7,143,821	$ 10,800,836	$ 10,786,583
Other liabilities	369,419	702,200	428,381	272,233	797,800	974,433
Total liabilities	$ 4,047,688	$ 4,344,962	$ 7,550,948	$ 7,416,054	$ 11,598,636	$ 11,761,016
Deferred inflows of resources	$ 31,903	$ 46,981	$ -	$ -	$ 31,903	$ 46,981
Net position:						
Net investment in capital assets	$ 4,094,622	$ 4,323,920	$ 2,861,871	$ 2,299,052	$ 6,956,493	$ 6,622,972
Restricted	1,332,300	1,182,773	150,000	150,000	1,482,300	1,332,773
Unrestricted	1,400,851	730,846	131,167	261,996	1,532,018	992,842
Total net position	$ 6,827,773	$ 6,237,539	$ 3,143,038	$ 2,711,048	$ 9,970,811	$ 8,948,587

This summary reflects an increase of 9.5 percent in the net position of the governmental activities and a 15.9 percent increase in the net position of the business-type activities. Restricted net position represents 14.9 percent of the City's total net position. These resources are restricted externally or by enabling legislation to be used for specific purposes. The City's unrestricted net position of $1,532,018 may be used to meet the City's ongoing obligations to the citizens and creditors.

At the end of the current fiscal year, the City has positive balances in all three categories of net position, both for the City as a whole as well as for the separate governmental and business-type activities. The same situation held true for the prior fiscal year.

CITY OF DAKOTA CITY

STATEMENT OF NET POSITION

SEPTEMBER 30, 2024

	Governmental Activities	Business-Type Activities	Total
ASSETS:			
Current assets:			
Cash and cash equivalents	$ 1,787,004	$ 574,230	$ 2,361,234
Investments	35,831	308,886	344,717
Receivables:			
Taxes	179,797	-	179,797
Accounts	15,638	129,344	144,982
Estimated unbilled usage	-	17,414	17,414
Special assessments	38,081	-	38,081
Due from other governmental agencies	32,221	238,249	270,470
Interest receivable	73,601	-	73,601
Lease receivable	15,654	-	15,654
Internal balances	37,047	(37,047)	-
Total current assets	$ 2,214,874	$ 1,231,076	$ 3,445,950
Noncurrent assets:			
Restricted assets - cash	$ -	$ 28,472	$ 28,472
Internal balances	550,000	(550,000)	-
Special assessments	353,350	-	353,350
Lease receivable	16,249	-	16,249
Land and construction in progress	325,300	1,129,996	1,455,296
Property and equipment, net of accumulated depreciation	7,447,591	8,854,442	16,302,033
Total noncurrent assets	$ 8,692,490	$ 9,462,910	$ 18,155,400
Total assets	$ 10,907,364	$ 10,693,986	$ 21,601,350
LIABILITIES:			
Current liabilities:			
Accounts payable	$ 81,896	$ 292,900	$ 374,796
Accrued expenses	-	2,949	2,949
Accrued wages and compensated absences	17,402	5,188	22,590
Accrued interest payable	34,914	111,136	146,050
Unearned revenue	235,207	-	235,207
Due within one year:			
Notes payable	27,284	189,527	216,811
Revenue bonds payable	-	135,000	135,000
General obligation bonds	315,000	-	315,000
Financed purchase liability	12,800	-	12,800
Total current liabilities	$ 724,503	$ 736,700	$ 1,461,203
Liabilities payable from restricted assets:			
Customer deposits	$ -	$ 16,208	$ 16,208
Noncurrent liabilities:			
Due within more than one year:			
Notes payable	$ 28,491	$ 5,573,040	$ 5,601,531
Revenue bonds payable	-	1,225,000	1,225,000
General obligation bonds	3,240,000	-	3,240,000
Financed purchase liability	54,694	-	54,694
Total noncurrent liabilities	$ 3,323,185	$ 6,798,040	$ 10,121,225
Total liabilities	$ 4,047,688	$ 7,550,948	$ 11,598,636
DEFERRED INFLOWS OF RESOURCES:			
Leases	$ 31,903	$ -	$ 31,903
NET POSITION:			
Net investment in capital assets	$ 4,094,622	$ 2,861,871	$ 6,956,493
Restricted for:			
Debt service	653,520	150,000	803,520
Infrastructure	533,372	-	533,372
Public safety	130,100	-	130,100
Housing rehabilitation	15,308	-	15,308
Unrestricted	1,400,851	131,167	1,532,018
Total net position	$ 6,827,773	$ 3,143,038	$ 9,970,811

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

STATEMENT OF ACTIVITIES

FOR THE YEAR ENDED SEPTEMBER 30, 2024

Functions/Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net (Expense) Revenue and Changes in Net Position: Governmental Activities	Net (Expense) Revenue and Changes in Net Position: Business-Type Activities	Net (Expense) Revenue and Changes in Net Position: Total
Governmental activities:							
General government	$ 298,481	$ 73,579	$ -	$ -	$ (224,902)	$ -	$ (224,902)
Public safety	369,372	68,980	-	100	(300,292)	-	(300,292)
Public works	518,489	-	311,429	161,700	(45,360)	-	(45,360)
Culture and recreation	126,811	64,951	-	-	(61,860)	-	(61,860)
Debt service	119,233	-	-	-	(119,233)	-	(119,233)
Total governmental activities	$ 1,432,386	$ 207,510	$ 311,429	$ 161,800	$ (751,647)	$ -	$ (751,647)
Business-type activities:							
Electric	$ 22,069	$ 223,793	$ -	$ -	$ -	$ 201,724	$ 201,724
Water	564,025	447,946	-	-	-	(116,079)	(116,079)
Sewer	512,581	535,230	-	-	-	22,649	22,649
Sanitation	147,142	142,160	-	-	-	(4,982)	(4,982)
Total business-type activities	$ 1,245,817	$ 1,349,129	$ -	$ -	$ -	$ 103,312	$ 103,312
Total	$ 2,678,203	$ 1,556,639	$ 311,429	$ 161,800	$ (751,647)	$ 103,312	$ (648,335)
General revenues:							
Property taxes					$ 403,342	$ -	$ 403,342
Property taxes levied for debt service					217,143	-	217,143
Sales tax, Public Safety Services Agency indebtedness					156,156	-	156,156
Sales tax, infrastructure improvements					156,155	-	156,155
Other taxes					98,800	-	98,800
Unrestricted interest income					27,804	6,350	34,154
Grants and contributions not restricted to specific purpose					230,443	-	230,443
Gain on extinguishment of debt					-	322,517	322,517
Insurance recoveries					26,996	-	26,996
Miscellaneous					22,042	2,811	24,853
Transfers					3,000	(3,000)	-
Total general revenues and transfers					$ 1,341,881	$ 328,678	$ 1,670,559
Change in net position					$ 590,234	$ 431,990	$ 1,022,224
Net position - beginning					6,237,539	2,711,048	8,948,587
Net position - ending					$ 6,827,773	$ 3,143,038	$ 9,970,811

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

BALANCE SHEET - GOVERNMENTAL FUNDS

SEPTEMBER 30, 2024

	General Fund	Debt Service	Sales Tax	Nonmajor Governmental Funds	Total Governmental Funds
ASSETS:					
Cash and cash equivalents	$ 883,901	$ 159,243	$ 493,345	$ 250,515	$ 1,787,004
Investments	35,831	-	-	-	35,831
Receivables:					
Accounts	15,638	-	-	-	15,638
Taxes	86,903	40,418	52,476	-	179,797
Special assessments	391,431	-	-	-	391,431
Due from other funds	839,578	15,101	27,578	-	882,257
Due from other governmental agencies	32,221	-	-	-	32,221
Interest receivable	73,601	-	-	-	73,601
Lease receivable	31,903	-	-	-	31,903
Total assets	$ 2,391,007	$ 214,762	$ 573,399	$ 250,515	$ 3,429,683
LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND FUND BALANCES:					
Liabilities:					
Accounts payable	$ 41,869	$ -	$ 40,027	$ -	$ 81,896
Accrued wages and related taxes	7,855	-	-	-	7,855
Accrued interest payable	1,805	590	-	-	2,395
Due to other funds	85,195	210,015	-	-	295,210
Unearned revenue	-	-	-	235,207	235,207
Bonds payable	-	10,000	-	-	10,000
Total liabilities	$ 136,724	$ 220,605	$ 40,027	$ 235,207	$ 632,563
Deferred inflows of resources:					
Unavailable revenue - property taxes	$ 16,657	$ 7,781	$ -	$ -	$ 24,438
Unavailable revenue - special assessments	391,431	-	-	-	391,431
Leases	31,903	-	-	-	31,903
Total deferred inflows of resources	$ 439,991	$ 7,781	$ -	$ -	$ 447,772
Fund balances:					
Nonspendable:					
Interfund advance	$ 550,000	$ -	$ -	$ -	$ 550,000
Restricted for:					
Debt service	300,451	-	-	-	300,451
Public safety	130,100	-	-	-	130,100
Infrastructure	-	-	533,372	-	533,372
Housing rehabilitation	-	-	-	15,308	15,308
Unassigned	833,741	(13,624)	-	-	820,117
Total fund balances	$ 1,814,292	$ (13,624)	$ 533,372	$ 15,308	$ 2,349,348
Total liabilities, deferred inflows of resources, and fund balances	$ 2,391,007	$ 214,762	$ 573,399	$ 250,515	$ 3,429,683

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES

GOVERNMENTAL FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2024

	General Fund	Debt Service	Sales Tax	Nonmajor Governmental Funds	Total Governmental Funds
Revenues:					
Property taxes	$ 403,666	$ 218,566	$ -	$ -	$ 622,232
Sales tax	-	-	312,311	-	312,311
Other taxes	98,101	699	-	-	98,800
Licenses and permits	20,136	-	-	-	20,136
Intergovernmental	542,799	-	-	-	542,799
Charges for services	107,504	-	-	-	107,504
Special assessment	116,757	-	-	-	116,757
Interest income	27,804	-	-	-	27,804
Rental income	53,443	-	-	-	53,443
Miscellaneous	46,601	1,043	-	-	47,644
Total revenues	$ 1,416,811	$ 220,308	$ 312,311	$ -	$ 1,949,430
Expenditures:					
Current:					
General government	$ 285,174	$ -	$ -	$ -	$ 285,174
Public safety	176,889	-	156,106	-	332,995
Public works	418,342	-	-	-	418,342
Culture and recreation	83,580	-	-	-	83,580
Debt service	94,001	379,432	-	-	473,433
Total expenditures	$ 1,057,986	$ 379,432	$ 156,106	$ -	$ 1,593,524
Excess (deficiency) of revenues over expenditures	$ 358,825	$ (159,124)	$ 156,205	$ -	$ 355,906
Other financing sources (uses):					
Proceeds from general obligation bonds	$ 395,000	$ -	$ -	$ -	$ 395,000
Proceeds from bond anticipation notes	425,000	-	-	-	425,000
Insurance recoveries	26,996	-	-	-	26,996
Refinancing of debt - debt service principal	(425,000)	-	-	-	(425,000)
Transfer in	3,000	145,500	-	-	148,500
Transfer out	(145,500)	-	-	-	(145,500)
Total other financing sources (uses)	$ 279,496	$ 145,500	$ -	$ -	$ 424,996
Net change in fund balances	$ 638,321	$ (13,624)	$ 156,205	$ -	$ 780,902
Fund balances - beginning	1,175,971	-	377,167	15,308	1,568,446
Fund balances - ending	$ 1,814,292	$ (13,624)	$ 533,372	$ 15,308	$ 2,349,348

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

STATEMENT OF NET POSITION - PROPRIETARY FUND

SEPTEMBER 30, 2024

	Enterprise Fund Combined Utilities Fund
ASSETS:	
Current assets:	
Cash	$ 574,230
Investments	308,886
Receivables:	
Accounts	129,344
Due from other governments	238,249
Estimated unbilled usage	17,414
Interfund balances	108,544
Total current assets	$ 1,376,667
Noncurrent assets:	
Restricted assets - cash	$ 28,472
Land and construction in progress	1,129,996
Infrastructure, property, and equipment, net of accumulated depreciation	8,854,442
Total noncurrent assets	$ 10,012,910
Total assets	$ 11,389,577
LIABILITIES:	
Current liabilities:	
Accounts payable	$ 292,900
Accrued expenses	2,949
Accrued wages and compensated absences	5,188
Accrued interest payable	111,136
Interfund balances	145,591
Revenue bonds due within one year	135,000
Note payable due within one year	189,527
Total current liabilities	$ 882,291
Liabilities payable from restricted assets:	
Customer deposits	$ 16,208
Total liabilities payable from restricted assets	$ 16,208
Noncurrent liabilities:	
Interfund advance	$ 550,000
Note payable due in more than one year	5,573,040
Revenue bonds payable due in more than one year	1,225,000
Total noncurrent liabilities	$ 7,348,040
Total liabilities	$ 8,246,539
NET POSITION:	
Net investment in capital assets	$ 2,861,871
Restricted for debt service	150,000
Unrestricted	131,167
Total net position	$ 3,143,038

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

PROPRIETARY FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2024

	Enterprise Fund Combined Utilities Fund
Operating revenues:	
Charges for services	$ 1,125,336
NPPD lease revenue	223,793
Total operating revenues	$ 1,349,129
Operating expenses:	
Production	$ 222,009
Operation and maintenance	209,910
General expenses	343,977
Depreciation	265,524
Total operating expenses	$ 1,041,420
Net operating income	$ 307,709
Non-operating revenues (expenses):	
Gain on extinguishment of debt	$ 322,517
Interest income	6,350
Interest and other expenses	(200,487)
Miscellaneous income	2,811
Miscellaneous expense	(3,910)
Total non-operating expenses	$ 127,281
Income (loss) before contributions and transfers	$ 434,990
Transfer out	$ (3,000)
Change in net position	$ 431,990
Total net position - beginning	2,711,048
Total net position - ending	$ 3,143,038

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

STATEMENT OF CASH FLOWS - PROPRIETARY FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2024

	Enterprise Fund Combined Utilities Fund
Cash flows from operating activities:	
Cash received from customers	$ 1,319,485
Cash received from other funds	53,298
Cash paid to suppliers for goods and services	(689,159)
Cash paid to employees for services	(186,636)
Other cash receipts	2,811
Net cash provided by operating activities	$ 499,799
Cash flows from capital and related financing activities:	
Proceeds from loan forgiveness	$ 215,305
Acquisition of capital assets	(568,841)
Advance from other funds	300,000
Proceeds from capital debt	263,153
Principal paid on capital debt	(415,444)
Interest paid on capital debt	(184,120)
Net cash used in capital and related financing activities	$ (389,947)
Cash flows from investing activities:	
Interest on investments	$ 1,361
Net cash provided by investing activities	$ 1,361
Net increase in cash	$ 111,213
Cash and restricted cash - beginning	491,489
Cash and restricted cash - ending	$ 602,702

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

STATEMENT OF CASH FLOWS - PROPRIETARY FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2024

(CONTINUED)

	Enterprise Fund Combined Utilities Fund
Reconciliation of operating income to net cash provided by operating activities:	
Operating income	$ 307,709
Adjustments to reconcile net operating income to net cash provided by operating activities:	
Depreciation	$ 265,524
Bad debt expense	5,589
Other cash receipts	2,811
Other cash disbursements	(6,910)
(Increase) decrease in assets:	
Accounts receivables	(15,093)
Estimated unbilled usage	(14,662)
Interfund receivable for services	(5,829)
Increase (decrease) in liabilities:	
Accounts payable	(98,045)
Accrued expenses	644
Accrued wages and compensated absences	(1,186)
Interfund payable for services	59,127
Customer deposits	120
Total adjustments	$ 192,090
Net cash provided by operating activities	$ 499,799
Reconciliation of cash to the statement of net position:	
Cash	$ 574,230
Restricted cash	28,472
	$ 602,702
Schedule of noncash capital and related financing activities:	
Purchases of capital assets in accounts payable	$ 238,249

See accompanying notes to the financial statements.

CITY OF DAKOTA CITY

BUDGETARY COMPARISON SCHEDULE (BUDGETARY BASIS) - GOVERNMENTAL FUNDS

REQUIRED SUPPLEMENTARY INFORMATION

FOR THE YEAR ENDED SEPTEMBER 30, 2024

	Budgeted Amounts		Actual Budgetary Basis	Variance With Final Budget - Positive (Negative)
	Original	Final		
Resources:				
Property taxes	$ 591,500	$ 591,500	$ 525,625	$ (65,875)
Federal receipts	-	-	10,855	10,855
State receipts	525,374	525,374	554,360	28,986
Local receipts	1,469,500	1,864,500	1,269,927	(594,573)
Total resources	$ 2,586,374	$ 2,981,374	$ 2,360,767	$ (620,607)
Disbursements and transfers:				
General government	$ 333,111	$ 383,111	$ 341,427	$ 41,684
Public safety	387,300	437,300	358,006	79,294
Public works	511,966	511,966	675,286	(163,320)
Culture and recreation	122,390	122,390	82,720	39,670
Debt service	445,034	895,034	898,433	(3,399)
Capital projects	779,000	779,000	-	779,000
Total disbursements and transfers	$ 2,578,801	$ 3,128,801	$ 2,355,872	$ 772,929
Excess (deficiency) of resources and transfers over disbursements and transfers	$ 7,573	$ (147,427)	$ 4,895	$ 152,322
Cash fund balances - beginning			1,817,940	
Cash fund balances - ending			$ 1,822,835	

CITY OF DAKOTA CITY

COMBINING SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN

FUND BALANCES - GOVERNMENTAL FUNDS - NONMAJOR

FOR THE YEAR ENDED SEPTEMBER 30, 2024

	Housing	ARP	Total Nonmajor Governmental Funds
Revenues:			
Intergovernmental	$ -	$ -	$ -
Total revenues	$ -	$ -	$ -
Expenditures:			
General government	$ -	$ -	$ -
Total expenditures	$ -	$ -	$ -
Net change in fund balances	$ -	$ -	$ -
Fund balances - beginning	15,308	-	15,308
Fund balances - ending	$ 15,308	$ -	$ 15,308

CITY OF DAKOTA CITY

COMBINING DEPARTMENTAL SCHEDULE OF REVENUES, EXPENSES, AND

CHANGES IN NET POSITION - COMBINED UTILITY FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2024

	Electric	Water	Sewer	Sanitation	Total
Operating revenues:					
Charges for services	$ -	$ 447,946	$ 535,230	$ 142,160	$ 1,125,336
NPPD lease revenue	223,793	-	-	-	223,793
Total operating revenues	$ 223,793	$ 447,946	$ 535,230	$ 142,160	$ 1,349,129
Operating expenses:					
Production:					
Purchased power and services	$ -	$ 33,749	$ 41,118	$ 147,142	$ 222,009
Operation and maintenance:					
Operating supplies	$ -	$ 178,578	$ 17,749	$ -	$ 196,327
Repairs and maintenance	-	4,338	9,245	-	13,583
	$ -	$ 182,916	$ 26,994	$ -	$ 209,910
General expenses:					
Personal services	$ -	$ 96,205	$ 89,245	$ -	$ 185,450
Professional schooling	-	836	850	-	1,686
Accounting and legal	4,750	12,919	12,919	-	30,588
Communications	-	4,614	3,397	-	8,011
Transportation	-	1,401	1,385	-	2,786
Postage	-	3,050	1,731	-	4,781
Insurance	-	14,198	18,923	-	33,121
Utilities	-	46,724	23,339	-	70,063
Office supplies	-	1,208	694	-	1,902
Bad debt	-	5,589	-	-	5,589
	$ 4,750	$ 186,744	$ 152,483	$ -	$ 343,977
Total operating expenses before depreciation	$ 4,750	$ 403,409	$ 220,595	$ 147,142	$ 775,896
Operating income (loss) before depreciation	$ 219,043	$ 44,537	$ 314,635	$ (4,982)	$ 573,233
Less: depreciation	17,319	95,697	152,508	-	265,524
Operating income (loss)	$ 201,724	$ (51,160)	$ 162,127	$ (4,982)	$ 307,709
Non-operating revenues (expenses):					
Gain on extinguishment of debt					$ 322,517
Interest income					6,350
Interest and other expense					(200,487)
Miscellaneous income					2,811
Miscellaneous expense					(3,910)
Total other non-operating expenses					$ 127,281
Transfer out					$ (3,000)
Change in net position					$ 431,990
Net position - beginning					2,711,048
Net position - ending					$ 3,143,038

See accompanying independent auditor's report.